

HOUSE OF REPRESENTATIVES
Quezon City

NINETEENTH CONGRESS
Third Regular Session

House Bill No. **10845**



Introduced by Representative PABLO JOHN F. GARCIA

EXPLANATORY NOTE

The rapid advancement of Artificial Intelligence (AI) presents a transformative opportunity for the Philippines to enhance its public service delivery, improve decision-making processes, and drive innovation across various sectors. AI has the potential to streamline government operations, reduce inefficiencies, and provide more accurate and timely services to the public. However, the integration of AI into government transactions and processes requires a comprehensive framework to ensure that its deployment is ethical, transparent, and aligned with the country's development goals.

This proposed bill seeks to establish such a framework, providing the necessary legal and institutional support for the adoption of AI in government systems. This bill is anchored on the following key principles:

- **Efficiency and Innovation:** AI can significantly enhance the efficiency of government transactions by automating routine tasks, analyzing large volumes of data, and providing insights that support data-driven decision-making. By adopting AI, government agencies can offer faster and more accurate services to the public, ultimately leading to higher satisfaction and trust in government.
- **Ethical AI Implementation:** While AI offers numerous benefits, it also raises important ethical concerns, particularly related to privacy, fairness, and accountability. This bill mandates the establishment of ethical AI standards to ensure that AI systems used by the government are transparent, non-discriminatory, and respectful of human rights. These standards will help prevent potential biases and unintended consequences in AI decision-making.
- **Data Governance and Security:** The effective use of AI in government relies heavily on access to accurate and secure data. This bill emphasizes the importance of robust data governance policies to safeguard the integrity, privacy, and security of data used in AI systems. It also promotes the responsible sharing of data across government agencies to maximize the benefits of AI while protecting sensitive information.
- **Capacity Building:** To successfully integrate AI into government processes, it is essential to build the capacity of government personnel. This bill provides for training and capacity-building programs to equip public servants with the necessary knowledge and skills to effectively manage and deploy AI technologies.
- **Public-Private Partnerships:** The successful implementation of AI in government requires collaboration between the public sector, private sector, academia, and international

organizations. This bill encourages public-private partnerships to leverage the expertise and resources of various stakeholders in the development and deployment of AI solutions

- **AI Accountability and Transparency:** To maintain public trust, it is crucial to ensure that AI systems used in government processes are accountable and transparent. This bill mandates the creation of audit trails, reporting requirements, and AI impact assessments to monitor and evaluate the performance of AI systems. These measures will ensure that AI deployment in government is both responsible and beneficial to the public.
- **Institutional Support:** The bill proposes the creation of an AI Integration Council under the Office of the President. The Council will be responsible for overseeing the implementation of the AI Integration Framework, monitoring AI adoption in government processes, and providing recommendations on policy and regulatory matters related to AI.

This bill aims to harness the potential of AI for the betterment of public service delivery in the Philippines. By establishing a comprehensive framework for AI integration, this bill seeks to ensure that the adoption of AI in government is ethical, efficient, and aligned with the nation's development goals.

In view of the foregoing, the passage of this bill is earnestly sought.



Rep. PABLO JOHN F. GARCIA
3rd District, Province of Cebu

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AN ACT

**ESTABLISHING A COMPREHENSIVE FRAMEWORK FOR THE INTEGRATION OF
ARTIFICIAL INTELLIGENCE IN GOVERNMENT TRANSACTIONS AND PROCESSES, AND
FOR OTHER PURPOSES**

Be it enacted by the Senate and the House of Representatives of the Philippines in Congress assembled:

Section 1. Short Title. This Act shall be known as the "Artificial Intelligence Integration in Government Act".

Section 2. Declaration of Policy. The State recognizes the vital role of technology and innovation in promoting national development and enhancing the efficiency, transparency, and accountability of government transactions and processes. It is hereby declared the policy of the State to establish a comprehensive framework for the integration of Artificial Intelligence (AI) into government systems to improve public service delivery, ensure data-driven decision-making, and foster innovation in the public sector.

Section 3. Definition of Terms. For purposes of this Act, the following terms shall be defined as follows:

a. Artificial Intelligence (AI) - the simulation of human intelligence processes by machines, especially computer systems, which includes learning, reasoning, problem-solving, and decision-making.

b. AI Systems - any software or hardware system that employs AI techniques to perform tasks that would normally require human intelligence.

c. Government Transactions - any interaction, exchange, or communication between government agencies and individuals, organizations, or other government entities, involving the delivery of public services, processing of applications, or administration of policies and regulations.

Section 4. Scope and Coverage. This Act shall apply to all government agencies, including departments, bureaus, offices, and instrumentalities of the national government, local

government units (LGUs), government-owned or controlled corporations (GOCCs), and state universities and colleges (SUCs).

Section 5. AI Integration Framework. An AI Integration Framework shall be developed to guide the incorporation of AI in government transactions and processes. The Framework shall include the following components:

a. AI Strategy and Roadmap - development of a national AI strategy that aligns with the government's overall digital transformation goals, including a roadmap for AI integration in key government sectors.

b. Ethical AI Standards - establishment of ethical guidelines and standards to ensure that AI systems are designed and implemented in a manner that respects human rights, promotes fairness, and prevents bias and discrimination.

c. Data Governance - implementation of robust data governance policies to ensure the integrity, security, and privacy of data used in AI systems.

d. Capacity Building - provision of training and capacity-building programs for government personnel to enhance their understanding and skills in AI technologies.

e. Public-Private Partnerships - encouragement of collaboration between government agencies and the private sector, academic institutions, and international organizations to foster innovation and leverage AI expertise.

f. AI Accountability and Transparency - establishment of mechanisms for the accountability and transparency of AI systems used in government processes, including the development of audit trails and reporting requirements.

g. AI Impact Assessment - requirement for an AI impact assessment to be conducted prior to the deployment of AI systems in government transactions to evaluate potential risks and benefits.

Section 6. Creation of the AI Integration Council. There is hereby created an AI Integration Council (the "Council") with the which shall be composed of the following

a. President of the Philippines - Chairperson;

b. Secretary of the Department of Information and Communications Technology - Vice Chairperson

c. Secretary of Trade and Industry - Vice Chairperson

d. Secretary of Budget and Management - Member

e. Secretary of Interior and Local Government - Member

f. Secretary of Science and Technology - Member

g. Secretary of the Department of Education - Member

h. Chairperson of the Commission on Higher Education - Member

i. Director-General of the Technical Education and Skills Development Authority - Member

j. President of the University of the Philippines - Member

The President may designate the Executive Secretary to attend on his behalf and preside over the meetings of the Council. The Department Secretaries and other members may not designate alternate representatives other than their respective undersecretaries or assistant secretaries to the meetings of the NIC.

The Council shall be responsible for overseeing the implementation of the AI Integration Framework, monitoring AI adoption in government processes, and providing recommendations on policy and regulatory matters related to AI.

Section 7. Funding. The amount necessary to implement the provisions of this Act shall be included in the annual General Appropriations Act.

Section 8. Implementing Rules and Regulations. The DICT and the DTI, in coordination with the member agencies of the Council, shall formulate and promulgate the IRR and other issuances as may be necessary to ensure the effective implementation of this Act within sixty (60) days from the effectivity thereof. The IRR issued pursuant to this section shall take effect thirty (30) days after its publication in any newspaper of general circulation.

Section 9. Separability Clause. If any provision of this Act is declared unconstitutional or invalid, the other provisions not affected thereby shall remain in full force and effect.

Section 10. Repealing Clause. All laws, decrees, executive orders, rules, and regulations, or parts thereof inconsistent with this Act are hereby repealed or modified accordingly.

Section 11. Effectivity. This Act shall take effect fifteen (15) days after its publication in the Official Gazette or in at least two (2) newspapers of general circulation.

Approved,